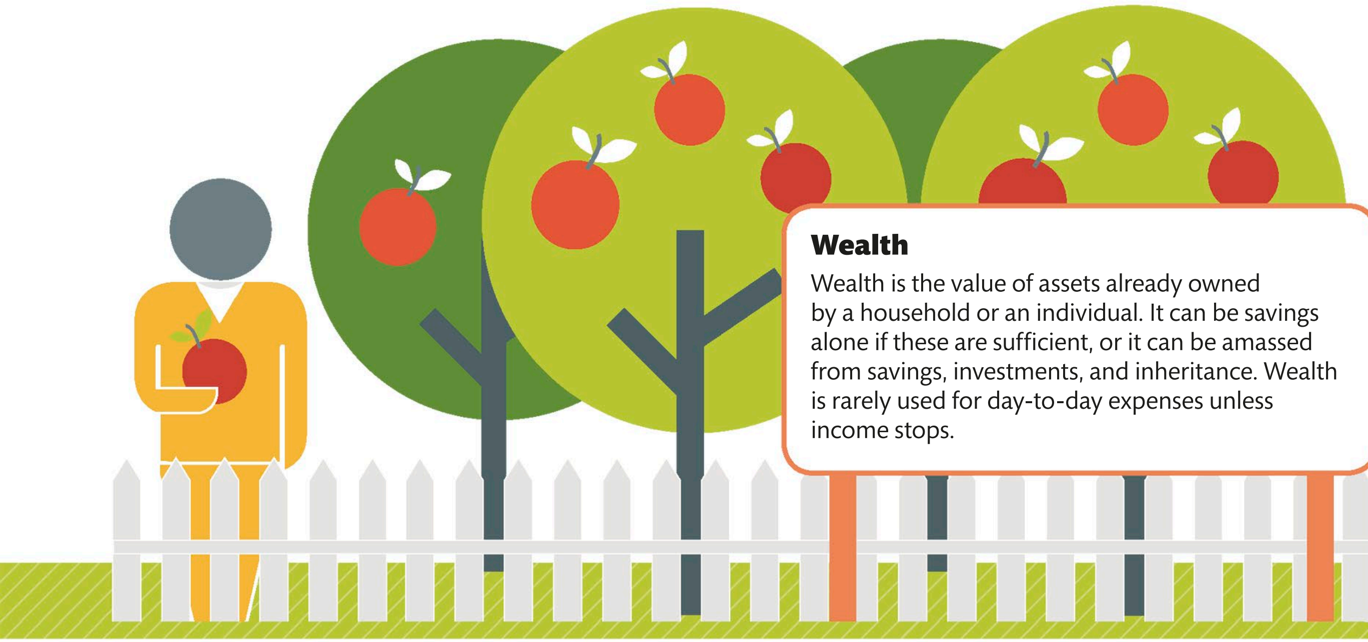
How it works

Wealth is the value of a person's assets, savings, and investments, while income is the money received regularly in return for work, from investments, or as a benefit or pension. Recognizing the difference between the two concepts is key to both building and protecting wealth. Income that is closely managed and carefully invested can create wealth over time.



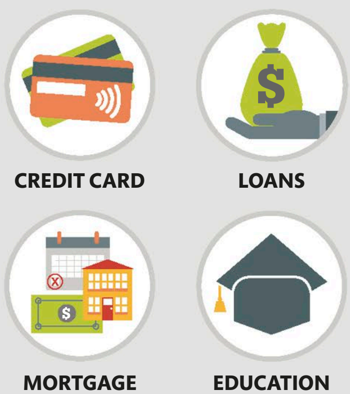
Wealth

Wealth is the value of assets already owned by a household or an individual. It can be savings alone if these are sufficient, or it can be amassed from savings, investments, and inheritance. Wealth is rarely used for day-to-day expenses unless income stops.

WEALTH

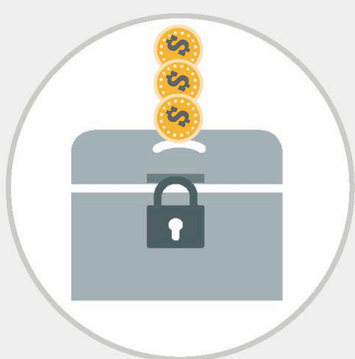
Debts

Debt should be paid off as quickly as possible unless there are tax advantages in spreading repayments.



Savings

The amount left after costs and debt commitments are met is savings. This should be invested into assets as soon as possible.



INVESTED INTO

Assets

The most efficient investments generate income and boost savings as well as increasing in value over time.